

Uco Bank v. State of U.P. and Others

Allahabad High Court · Division Bench · 9 January 2017 · Writ - C No. 54432 of 2006 · **Writ allowed; 28.8.2006 assessment quashed; remitted for hearing within six weeks; connected connection writ disposed of on the interim supply**

HEADNOTE

A tenant taking supply through the landlord's common meter, later found on inspection to have a cable running directly from the pole, may be assessed for unauthorised use under section 126 of the Electricity Act, 2003 read with Clause 6.8 of the U.P. Electricity Supply Code, 2005. Clause 6.8(b)(i) requires a provisional assessment inviting objections, and Clause 6.8(c) requires the assessing officer to hear the consumer. A timely written objection rejected without a personal hearing is an ex parte disposal and cannot sustain the assessment. Separately, Clause 6.8(c)(iii) requires the officer to ascertain the period of unauthorised use; without that finding the period is confined to twelve months immediately preceding the inspection, so a demand from 1974 to 2005 with no period finding cannot stand. Payments the tenant says were made to the Nagar Nigam must be considered, and the Nagar Nigam heard if necessary. The assessment is quashed and remitted for a fresh order within six weeks. The connected writ for a new connection, already granted on an interim deposit of Rs 1 lakh, is disposed of on those terms, with liberty to proceed in accordance with law if arrears after the fresh assessment remain unpaid.

FACTUAL SUMMARY

Uco Bank occupied a portion of Nagar Nigam premises as a tenant since 1974. Electricity was supplied through a common meter in the Nagar Nigam's name; the bank paid the Nigam under that arrangement. In June 2005, after the bank's internal load increased, the Nagar Nigam is said to have run a cable from the pole into the bank's premises and disconnected the internal supply. Inspection on 3 January 2006 found that direct cable. A provisional assessment dated 4 January 2006 demanded Rs 27,89,068.80 for 1 January 1974 to 30 December 2005. The bank objected on 9 January 2006; the objection was rejected on 28 August 2006.

After disconnection the bank had also filed Writ-C No. 6116 of 2006 for a connection. An order of 31 January 2006 directed consideration on deposit of Rs 1 lakh, and a fresh connection was given. Writ-C No. 54432 of 2006 then challenged the assessment as passed without a hearing and as billing from 1974 contrary to the twelve-month cap in Clause 6.8(c)(iii). Nagar Nigam did not appear.

REUSABLE CONSTRUCTIONS

1. A tenant supplied through the landlord's common meter who is found with a cable running directly from the pole is in unauthorised use assessable under section 126 read with Clause 6.8. ¶ [unnumbered](#)
2. A timely written objection to a Clause 6.8(b)(i) provisional assessment does not satisfy Clause 6.8(c); the assessing officer must give a personal hearing, and an ex parte rejection vitiates the assessment. ¶ [unnumbered](#)
3. Under Clause 6.8(c)(iii) the assessing officer must ascertain the period of unauthorised use; without that finding the period is confined to twelve months immediately preceding inspection. ¶ [unnumbered](#)
4. Payments made by the tenant to the landlord, and by the landlord to the licensee, must be considered in the assessment, and the landlord heard if necessary. ¶ [unnumbered](#)

HOLDING-UNITS

HOLDING-UNIT · EA2003::126

Direct pole supply on a landlord's common-meter arrangement is unauthorised use assessable under section 126

QUESTION

Where a tenant was taking supply through the landlord's common meter and inspection finds a cable running directly from the pole, may the licensee assess under section 126?

HOLDING

Yes. The Court found there was admittedly unauthorised use of electrical energy. The respondents were therefore entitled to assess under section 126 read with Clause 6.8 of the Supply Code. The procedure for that assessment is Clause 6.8. ¶ [unnumbered](#)

QUALIFIER

Unauthorised use was treated as admitted from the pole-to-premises cable. The assessment was nonetheless quashed for want of a personal hearing and of a period finding.

HOLDING-UNIT · UP-2005::6.8

Written objection rejected without personal hearing cannot sustain a UUE assessment

QUESTION

Does Clause 6.8(c) allow the assessing officer to reject a timely written objection to a provisional UUE assessment without a personal hearing?

HOLDING

No. After concluding unauthorised use, Clause 6.8(b)(i) requires a provisional assessment inviting objections, and Clause 6.8(c) requires the assessing officer to hear the consumer. The provisional order of 4 January 2006 was served; the bank objected on 9 January 2006 within time. The bank's assertion that no personal hearing was given, though denied in the counter-affidavit, was borne out on a perusal of the objection. The objection was rejected ex parte on 28 August 2006. The assessment therefore cannot be sustained and is quashed. The matter is remitted for a fresh order after hearing the petitioner, and the Nagar Nigam if necessary, within six weeks. ¶ [unnumbered](#)

FLAG Petitioner also invoked Clause 6.8(c)(i) and Article 14. The Court applied Clauses 6.8(b)(i) and 6.8(c). Source PDF concatenates the 2.1.2017 listing order (Tarun Agarwala and Umesh Chandra Srivastava JJ.) with this unnumbered 9.1.2017 judgment (Tarun Agarwala and Abhai Kumar JJ.). Connected Writ-C No. 6116 of 2006 is disposed of in terms of the 31.1.2006 interim connection, with liberty to proceed in accordance with law if arrears after the fresh assessment are unpaid.

HOLDING-UNIT · UP-2005::6.8

Period of UUE must be ascertained; otherwise confined to twelve months preceding inspection

QUESTION

May a UUE assessment run from 1974 to 2005 where neither the provisional order nor the order rejecting objections records a finding on the period of unauthorised use?

HOLDING

No. Clause 6.8(c)(iii) requires the assessing officer to ascertain the period of unauthorised use at the premises. It is settled that without that finding the period is confined to twelve months immediately preceding the date of inspection. Neither the provisional assessment nor the rejection of objections recorded such a finding. The bank's case was that as tenant it had paid electricity charges to the Nagar Nigam; the officer must consider payments made by the Nagar Nigam to the licensee and hear the Nagar Nigam if necessary. ¶ [unnumbered](#)

QUALIFIER

The Court did not itself apply the twelve-month cap or compute a period; that is for the remand.

PRINCIPLE TAGS

clause-6.8-hearing-procedure-mandatory-before-uue-conclusion A timely written objection to a Clause 6.8(b)(i) provisional UUE assessment does not satisfy Clause 6.8(c). The assessing officer must give a personal hearing; an ex parte rejection of the objection vitiates the assessment, which is quashed and remitted. ¶ [unnumbered](#)

opportunity-before-final-assessment Service of the provisional assessment and a written objection are not enough. Clause 6.8(c) still requires a personal hearing before the objection can be rejected and the assessment treated as final. Same cluster as SCJ-014, SCJ-022, SCJ-028, SCJ-117, SCJ-280. ¶ [unnumbered](#)

uue-period-365-days-is-fallback-not-default Under Clause 6.8(c)(iii) the assessing officer must ascertain the period of unauthorised use. Absent that finding, the period is confined to twelve months immediately preceding inspection. A demand from 1974 to 2005 with no period finding cannot stand; payments through the landlord meter must be considered on remand. Same cluster as SCJ-211. ¶ [unnumbered](#)

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — QUANTUM OF THE ASSESSMENT AND WHETHER NAGAR NIGAM PAYMENTS DISCHARGE OR REDUCE THE DEMAND

Remitted. The assessing officer must consider payments the bank says were made to the Nagar Nigam, and the payments the Nagar Nigam made to the licensee, and hear the Nagar Nigam if necessary. ¶ [unnumbered](#)

NOT DECIDED — THE ACTUAL PERIOD OF UNAUTHORISED USE, AND WHETHER THE TWELVE-MONTH CAP APPLIES ON THE FACTS

No period finding was recorded. The Court stated the twelve-month rule as the consequence of that omission but left ascertainment to the fresh assessment. ¶ [unnumbered](#)

NOT DECIDED — WHETHER THE NAGAR NIGAM'S JUNE 2005 POLE-TO-PREMISES CABLE WAS AN AUTHORISED ARRANGEMENT

Alleged by the bank; Nagar Nigam did not appear. Unauthorised use was treated as admitted from the inspection. The arrangement was not separately adjudicated. ¶ [unnumbered](#)